ABC News (Domain data), 25 Oct 2026
News summary · 27 October 2026

House prices record their biggest quarterly fall

> Domain data show the national median house price fell 4.7% in the September quarter, the largest drop on record, as rate rises took effect. Some regional markets, led by South Australia, kept rising.

WHAT HAPPENED

- The **national median house price fell 4.7%** in the September quarter, the steepest quarterly fall on record.
- For the **first time in 15 years**, house prices fell in every capital city.
- **Regional areas fell only 1.1%** overall. Regional Victoria, the NT and SA rose, with **regional SA up 6.3%** in the quarter and 19% over the year.
- Economists link the falls to **rate rises that have taken the cash rate to a 15-year high** and to a long housing boom coming to an end.
- One economist expects prices to keep falling for another **6–12 months**, then recover over the longer term.

Wealth effect: people spend less when the value of their assets (such as homes) falls

Asset price channel: how interest rate changes flow through to house and share prices

KEY NUMBERS

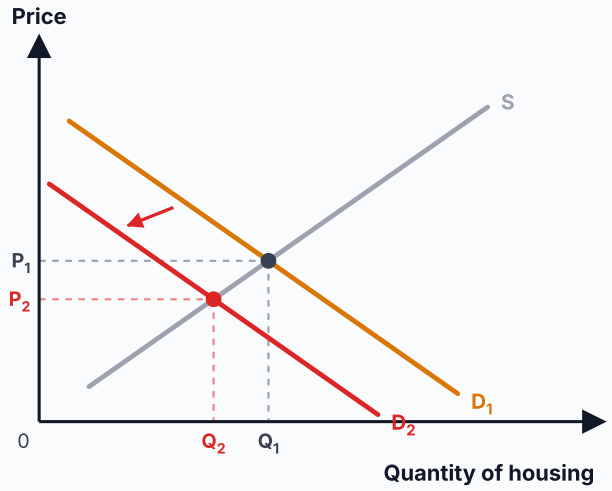
−4.7%
national median house price, Sept qtr

−1.1%
regional areas overall

+6.3%
regional SA, quarter

+19%
regional SA, past 12 months

DIAGRAM — Higher interest rates reduce demand for housing



Higher mortgage rates cut how much buyers can borrow, so **demand for housing shifts left from D_1 to D_2.**

Prices fall from **P_1 to P_2** and sales fall from **Q_1 to Q_2**. Regional markets that peak later in the cycle, or that attract people moving from the cities, can still rise for a while.

Exam angle: housing is most households' main asset, so falling prices reduce the wealth of home owners. Lower prices improve affordability for first-home buyers, but only if they can still borrow at higher rates. The overall effect on wealth inequality is not clear-cut.

SYLLABUS LINK

Topic 3 – distribution of income and wealth (housing wealth); Topic 4 link – the asset price channel of the monetary policy transmission mechanism.

TRY THIS

1. Explain how falling house prices can reduce consumer spending through the wealth effect. **(3 marks)**
2. To what extent will falling house prices make the distribution of wealth in Australia more equal? **(5 marks)**

Sources:
1. ABC News – Some regions still climbing as nation sees record drop in house prices – https://www.abc.net.au/news/2026-10-25/sa-sees-nations-largest-increase-in-regional-house-prices/107300928

Summary written in our own words from the sources listed; diagrams are illustrative and not to scale.